

Annual Relationship Review — Summit Retail Partners

Prepared for the credit file · Filed under: Marcus Webb (RM of record) **Review date:** 2026-06-14 · **Period covered:** 2024-01 through 2025-05 (latest reported) **Relationship since:** 2020 · **Tier:** Core

1. Relationship overview

Summit Retail Partners is a Specialty Retail borrower headquartered in TN, ~640 employees, ~\$41.5MM annual revenue (``get_borrower_dossier``: profile). The facility is a \$5.8MM Term Loan, fixed 6.10%, maturing 2028-11-30, for lease buyout and store refresh; collateral is leasehold improvements + inventory, with a personal guarantee in place (``get_borrower_dossier``: profile). Current loan balance is \$5.3MM (``get_loan_performance``: 2025-05). Primary contact is Nina Castillo, CFO (``get_borrower_dossier``: profile). Last annual review on file: 2024-12-05; no prior relationship memo on file (``get_borrower_dossier``: has_relationship_memo=false).

2. Performance trend (2024-01 → 2025-05)

DSCR (TTM) rose through 2024 to a peak of 1.21 in 2024-12, then declined over the following five months to 1.12 at 2025-05 (``get_loan_performance``: dscr_ttm by month). Across the full 17-month window the net movement was 1.13 → 1.12 (``detect_deterioration_signals``: dscr_trend). Leverage improved from 4.0 (2024-02) to 3.6 (2025-05); current ratio held at 1.4–1.6; revolver utilization 0% throughout; days past due 0 throughout (``get_loan_performance``).

Monthly revenue shows the expected retail seasonality — a holiday peak of \$5.8MM in 2024-12 ("Best December in 4 years per Castillo") and a post-holiday trough of \$2.1MM in 2025-02 (``get_loan_performance``: 2024-12, 2025-02). Spring 2025 ran softer than the 2024 comparable, with the 2025-04 note recording "Spring softer than 2024 comp. DSCR drifting toward minimum." (``get_loan_performance``: 2025-04).

3. Covenant status (factual test, as of 2025-05)

Metric	Value	Covenant	Cushion / Headroom	Breach
DSCR (TTM)	1.12	≥ 1.10 min	0.02	No
Leverage	3.6	≤ 5.0 max	1.4	No
Revolver utilization	0%	—	—	—

Reported covenant status is "Compliant"; the deterministic recomputation returns "Compliant"; the two match (``check_covenant_compliance``: 2025-05). One factual observation from the signal detector: the "Compliant" label held across six months of DSCR decline — the status label lagged the trajectory (``detect_deterioration_signals``: status_vs_trend). The DSCR cushion of 0.02 above the 1.10 floor is flagged as thin (``detect_deterioration_signals``: thin_cushion). These are stated as facts; the credit judgment is the RM's (Section 5).

4. Engagement summary

Ten logged contacts over the period (``get_activity_log``). Quarterly covenant packages were received Q4-2023 through Q1-2025 (logs dated 2024-01-22, 2024-03-12, 2024-06-18, 2024-09 package per performance note, 2024-12-10, 2025-03-25). Relationship calls were logged 2024-02-19 (voicemail, no answer), 2024-04-18, 2024-08-13, 2024-11-19, and 2025-05-15.

The most recent substantive two-way contact was the 2025-05-15 outbound call (22 minutes, outcome "Concerns Noted"), in which the RM recorded: "Spring softer than expected. Location 3 lease renewal at risk - landlord wants 18% rent increase. DSCR at 1.12x - above minimum but thinner than I'd like going into summer. She seems more stressed than usual." (``get_activity_log``: 2025-05-15).



5. RM assessment — Marcus Webb (RM of record)

The following is the relationship manager's own assessment, recorded verbatim.

> Coverage thinned to 1.12x, just over the 1.10x floor — but I read it as seasonal softness, not a structural decline; leverage at 3.6x leaves cushion. My real concern is commercial, not credit: the Location-3 renewal at an 18% bump, and Castillo's sounded more stressed lately. Eyes on the Q2 package before I move my view.

Outlook (RM): Watch / monitor

6. Next steps (in the RM's voice)

- Follow up on the Location-3 lease renewal.
- Request updated Q2 projections.

7. Open items

- Location 3 lease renewal unresolved; landlord seeking an 18% rent increase (``get_activity_log``: 2025-05-15; ``get_loan_performance``: 2025-05 note "Location 3 lease unresolved").
- Q2 2025 covenant package not yet received as of latest data (``get_loan_performance``: last reported month 2025-05).

Note: Summit's file is thin — sparse contact logs (several "Low" notes-quality) and no prior relationship memo — so the assembled sections are lighter than a well-documented borrower. The RM assessment in Section 5 is the credit judgment and originates with the RM.

Reliability: Grounded · 0 issues (Requires RM review before client/credit-file use — §4.3)

DSCR trend (TTM), 2024-01 to 2025-05

